



Lesson 9A Professional Service Manual

Practice Guidelines

- Client*- Agent Relationship
- Providing Professional Advice to Client*
- Communicating of Offers & Expressions of Interests
- Completing the Property Transaction

- Sets clear standards and guidelines
- Reference for investigation on any alleged professional misconduct or negligence
- Reference for Disciplinary Proceedings

SEAA has made reasonable efforts to ensure all information provided in the notes is accurate at the time of print. Do be informed this standard set of course material you have received is provided for all students attending our intakes.

* For online Zoom lessons, trainers may have their own additional slides on top of the given set for further illustration to students to aid them in their online lesson. Students will be responsible to write down, screenshot or take pictures of those additional slides/notes on their own. Those additional slides/notes will not be provided by SEAA.*



Meaning of “Clients”



Existing clients



Prospective Client

1. Prospective client engages estate agent or salesperson to perform estate agency work, he/she established a **client-agent relationship**
- 2.



3. To safeguard Clients and salesperson's interests Prescribed Agency Agreement to formalise client-agent relationship.

PSM 1.1.2

Rules of Engagement

Any salesperson engaged by a client shall **as soon as possible** personally meet and attend to his client to:

1. Discuss the terms of engagement including the **services to be rendered** and the **fees or commission** which may be payable; and
2. Render such advice as may be necessary or appropriate and to take such instructions as may be given.



PSM 1.1.3

No change of estate agent or salesperson

With the exception of valid termination of the estate agency contract between the estate agent and the client, there shall be **no change or appointment of the estate agent or salesperson** once the estate agent or salesperson **has been engaged** unless it is **initiated or requested for by the client**.

Case Study 1:

A client has engaged the services of Salesperson A. However, before the property transaction is closed (with the signing of the Option to Purchase or Sale & Purchase Agreement), **Salesperson A informs the client that Salesperson B is taking over to serve the client. This is not allowed.**

Case Study 2:

A client has engaged the services of Salesperson A to sell his flat in the open market. Throughout the transaction process including price negotiation and facilitating the signing of Option to Purchase, Salesperson A was the one handling the transaction-related matters and advising the client. At HDB's appointment(s) for the resale transaction, **Salesperson B appears and states that he is taking over to serve the client. This is not allowed.**



Meaning of “Clients”



Existing clients



Prospective Client

Duties owed to clients

RULES!

1. Act in the best interest of the client; (Estate Agent Act)
2. Act in accordance with the lawful instructions of the client; (CEPCC)
3. Act only within the scope of the authority given by the client; (CEPCC)
4. Advise the client to seek independent professional advice on matters outside the expertise of the estate agent or salesperson (PSM 2.3)
5. Maintain the confidentiality of information respecting the client; (CEPCC)
6. Disclose to the client all material information in respect of the real estate services and the property to which the services relate. (CEPCC)
7. Communicate all offers or expressions of interest to the client in a timely, objective, and unbiased manner; (PSM 4)
8. Make reasonable efforts to discover relevant facts in respect of any real estate that the client is considering acquiring or disposing (of); (PSM 3.8)
9. Take reasonable steps to avoid any conflict of interest or potential conflict of interest; and
10. Promptly and fully disclose to the client any conflict or potential conflict of interest that does arise.
(Point 9 & 10 - PSM 1.3)

1. You SHALL!
2. You WILL!
3. You MUST!

1. Potential / Conflict of Interest → **Discontinue to act** on behalf of client
2. Potential Conflict of Interest = If other party (e.g. **buyer**) of property transaction or his/her salesperson is related to this (e.g. **seller**) salesperson.
 - a) **One person is the spouse or ex-spouse, parent or parent-in-law, sibling or sibling in-law, or child or child-in-law of the other person; or**
 - b) **One person is a partner or employee of the other person; or one person is a shareholder, director, partner or employee of a company (in respect of which the other person is a shareholder) [in which case the two persons are deemed to be related].**
3. Discover direct or indirect conflict at any time → As soon as possible, **declare in writing** to the client.
4. On the grounds of confidentiality or any reasons:
 - Unable to make a declaration of conflict or potential conflict
 - salesperson shall **decline** to act for or **withdraw** from acting for the client
5. Unless the client being **fully informed** of any conflict or potential conflict,
 - **consents** to acting or continuing to act for him
 - shall **decline** to act for or **withdraw** from acting for the client;
6. Must not acquire **directly** or **indirectly**, the property of the client without the express knowledge and consent of the client; and

7. Must not **directly or indirectly accept any fee, reward, commission, rebate**, etc for the **referral** of any services rendered / to be rendered by 3rd parties to client / any other party in connection with transaction involving the client without the **express knowledge & prior consent in writing of the client**.

Both the **fact & quantum** of such fee, reward, commission, rebate, etc to be disclosed in advance & in writing.

8. Must not engage in any business, work or professional activity could reasonably be expected to compromise the discharge of their obligations to their clients.

Discussion – Conflict of Interest ?

Example 1:

James represents a landlord. Jane (James' wife from another Estate Agent) is representing tenant.

Example 2:

Ali represents a landed property owner and the buyer is a KEO of Ali's company.

Example 3:

Salesperson X and Y are ex-spouse to each other. Both are representing owner and buyer respectively.

Case Study 3:

RES X (represents seller) & RES Y (represents purchaser) are from the same EA. They have a co-broking arrangement.

Y is the supervisor / team leader of X; will get the co-broke commission as well as an overriding fee from X.

In such an instance, X & Y shall disclose in writing to their clients (*ie.* seller & purchaser respectively) that:

- (i) Both RESs are from the same EA & that Y is the supervisor / team leader of X.
- (ii) Y will be collecting the co-broke commission.
- (iii) Y will be collecting an overriding fee from X's commission.

Case Study 4:

C & D (represent tenant) & E & F (represent landlord) are from the same EA. The tenant and the landlord both agree to pay commission to their respective RESs. The commission earned by C, D, E and F will be pooled together and divided amongst all RESs as per the EA's remuneration policy.

C & D as well as E & F are to disclose to their respective clients that such a remuneration policy is practised by their EA.

This is to avoid the possibility of complaint that there was an undisclosed direct or indirect conflict of interest *e.g* complaint by landlord that his RESs (i.e. E & F) chose to transact with the tenant to maximise their own personal remuneration instead of recommending another tenant who may not wish to pay commission but is prepared to pay a higher rental.

Case Study 5:

In a private property transaction, a salesperson may represent the buyer/tenant with the commission to be paid by the seller/landlord, if this is agreed amongst the parties. The salesperson can only represent one party to the transaction.

As the salesperson is not representing the seller/landlord in this case, **an estate agency agreement cannot be signed** between them. However, a **commercial contract** or other form of agreement could be entered into between them by mutual agreement.

Such **contract should make clear who is the salesperson's client** and the agreement of the landlord/seller to pay the salesperson (on behalf of his estate agent) a sum for introducing the salesperson's client to him.

Even though the seller/landlord is not the salesperson's client, the salesperson **owes him the same duties, as are owed to other third parties, under and in accordance with the CEPCC**. As the seller/landlord paid the salesperson, the latter cannot collect another commission, fee or payment from the buyer/tenant for the same transaction.

PSM 1.4 Salespersons Transacting Property for Themselves

If a salesperson transacts a property for himself / herself, he or she shall:

- A) **As soon as possible disclose upfront that he is an interested party**
- B) Not act on behalf of the other party to the transaction. In such a scenario, the salesperson can only represent himself and cannot collect a commission or co-broke commission from the other party or the other party's salesperson.

PSM 1.5 Disallowing Salesperson to be Power Of Attorney

1. In view of *inherent conflict of interest*, RES shall not be attorney for person(s) they represent or act for in the property transaction.
2. **RES (not facilitating the transaction) appointed to be attorney cannot directly or indirectly handle*, direct or instruct** the distribution of any sale proceeds otherwise than to pay (1) other party in accordance with the sale & purchase contract or (2) his principal.
3. RES appointed as attorney by one party cannot represent other party to the transaction.

****Refers to the instrument to appoint another person to act on one's behalf.***

PSM 1.6 Confirming Identity of a Client

Salespersons should take reasonable efforts & care to confirm identity of client & other parties.

Steps to Verify:

Recording full name of client

1. Record authorized signatory of the representative of a company
 - A Company Resolution
 - Letter of Authorization
2. Verifying the age of client (Legal age to sign contract)

Note: 18 years old person can sign a tenancy agreement (lease < 3 years)
3. Ensure prospective foreign tenants are legal residents in Singapore. (ICA, MOM Regulations)
4. Identify Criminal – Corruption, Drug, Trafficking and Other Serious Crimes Act

PSM 1.7 Confirming owner of property and property details

Ownership Proof

1. HDB Flat → MyHDBpage
2. SLA INLIS → Title Search

Property Information on:

1. Tenure
2. Floor area
3. Service & conservancy charge
4. Upgrading works and upgrading cost of private and public housing
5. Approved use of Property

Suggested Sources

- Singapore Land Authority
Land Titles Registry (SLA);
HDB
- HDB Infoweb, Town Council,
MCST
- HDB Infoweb/MCST
- URA website

PSM 1.9 Vulnerable Clients – Disallow to take advantage



Singapore World Big Read Opinion Visuals Brand Spotlight

PropNex agent suspended 7 months, fined S\$6,000 for misconduct involving senile client

By LOW YOUJIN

No
discrimination

Advise
appropriate
persons be
involved in
discussions

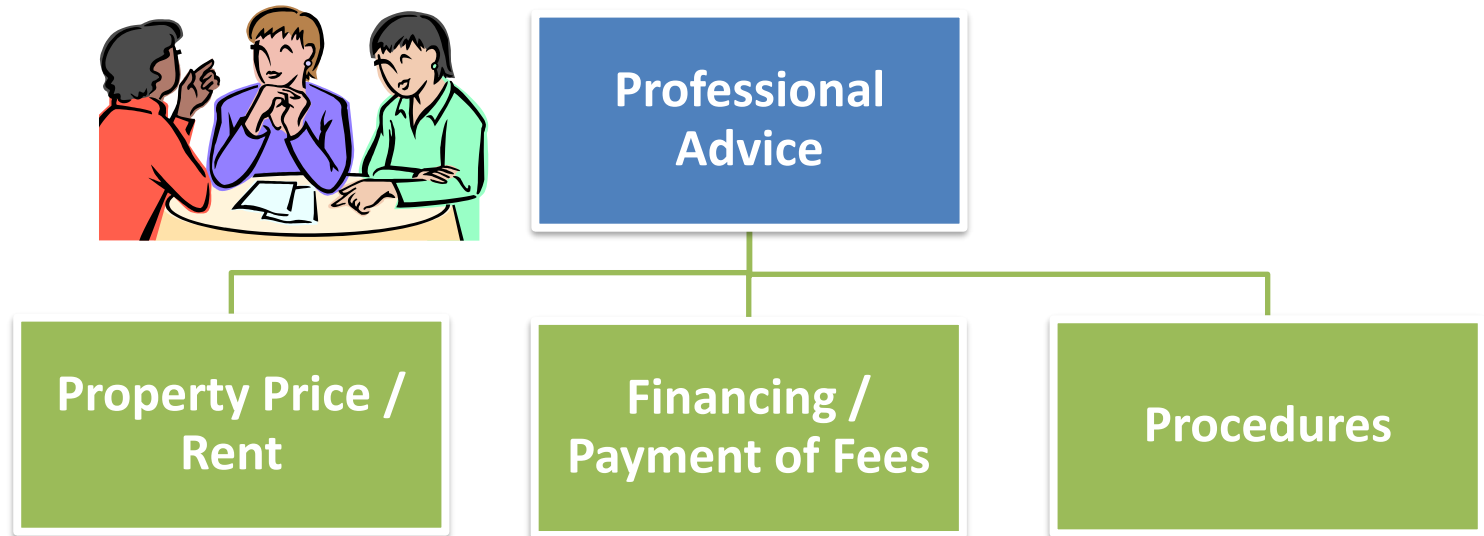
Greater
care and
diligence

PSM 1.10 Offering Gifts or Cash Voucher

1. Estate Agent or salesperson shall not advertise or offer **any benefit, in cash or kind** to any party in a transaction, so as to induce them to engage their services.
2. Estate Agent or salesperson also **shall not agree** if any person initiates the request for them to offer such benefits.

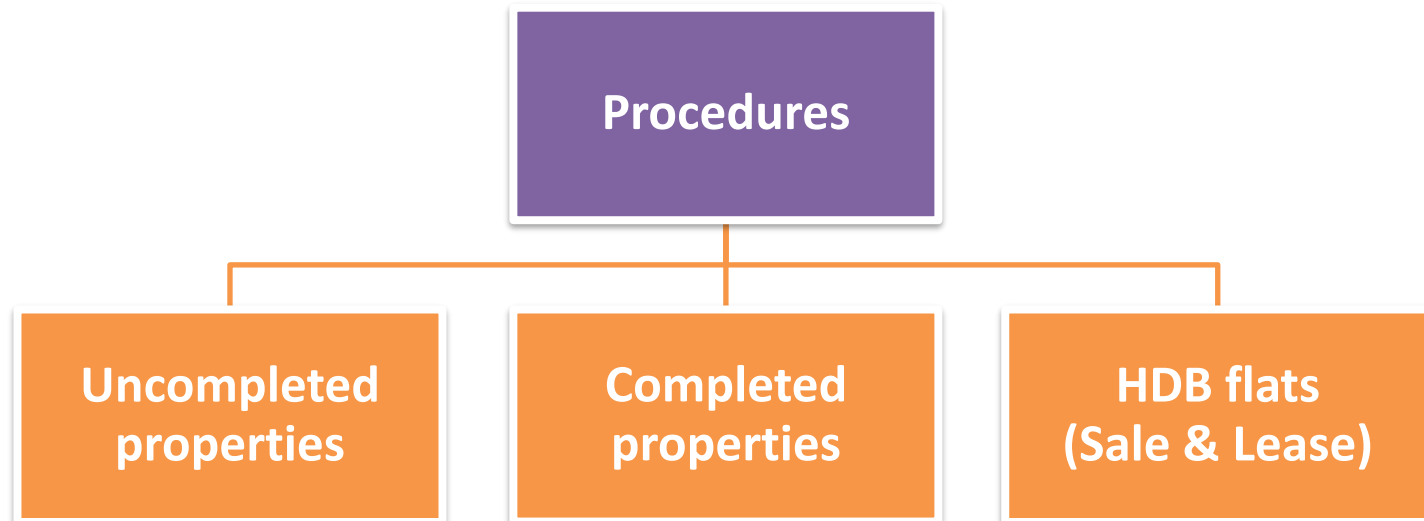
PSM 2

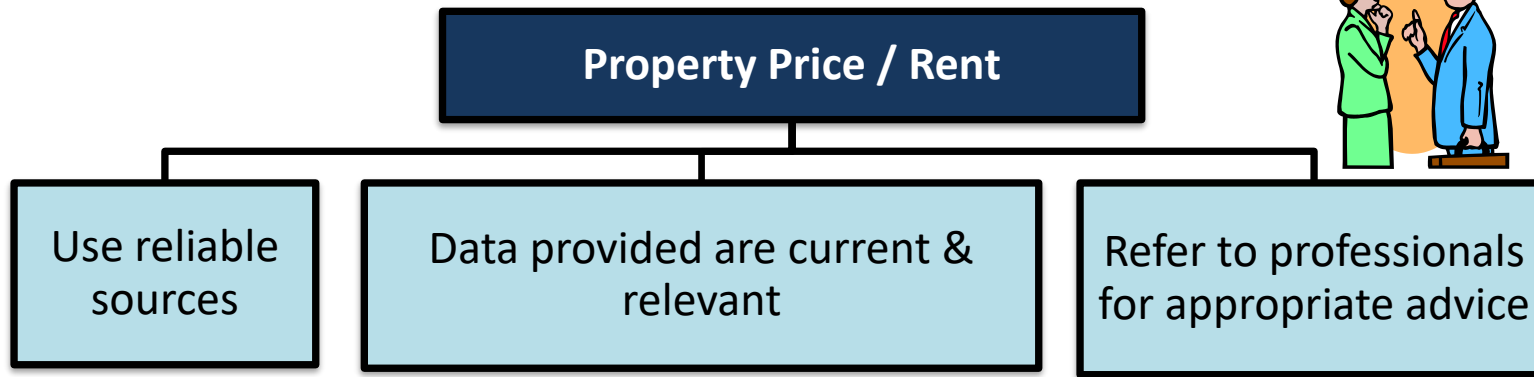
Providing Professional Advice



PSM 2.2

Providing Professional Advice – Sales Procedure (Lesson 13 to 16)





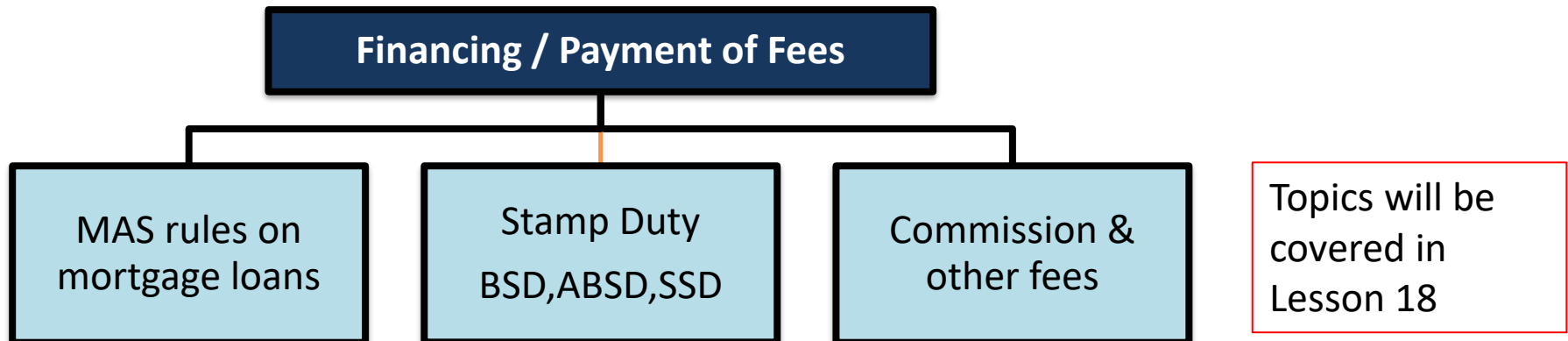
- ❖ Property quoted are comparable to subject property in the **same vicinity**
- ❖ Data is reasonably comprehensive and the client is **not misled** on the value of his property.

PSM 2.3

Providing Professional Advice

CEPCC

Recommending professional advice where appropriate



Estate Agent & salesperson shall advise and encourage the clients to seek the advice of appropriate professionals including but not limited to solicitors, tax advisers, appraisers and valuers, where there is any material matter or issue that is beyond their knowledge or expertise.

Obtain prior consent from client before conduct a viewing

Prepare for viewings, including being punctual

Project professional image & display Estate Agent Card

Keep proper record of persons who viewed property

Handling Client's key
Written & Verify

For sub-sale transactions of completed properties, after the OTP is exercised or the S&P Agreement is signed but **before legal completion has taken place**, and the buyer wishes to sell such a property, estate agents and salespersons shall take into consideration that the **prior consent from the legal owner is required before any viewing of the property**.

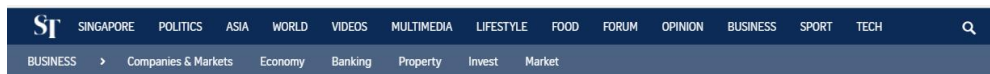
PSM 3.7

Advice on the use of cheques – Completed Property

1. Salesperson must not collect multiple cheques as indication of “sincerity”
2. Estate Agent and salesperson must not use cheque to show other buyers or solicit for a higher offer
3. **Cheque exchange for Option to Purchase**

PSM 3.6

Property Viewings – Uncompleted Property (Developer)



Buyers queue for luxury Iskandar condo built by Singapore developers



1 of 3 Photo shows large crowds balloting for units on April 5, 2014, at Puteri Cove Residences' launch at ERA's Headquarters in Toa Payoh. A luxury condominium in Malaysia's Iskandar region being built by Singaporean developers has met with strong demand -- PHOTO: PACIFIC STAR GROUP



1. Prior launch, Estate Agent work out appropriate mode of sale with Developer.
2. Mode of Sales
 - No inconvenience to public
 - No traffic congestion
 - No unethical conduct
3. Mode of Sales & System for managing potential buyer
 - Fair and Transparent

PSM 3.7

Advice on the use of cheques – Uncompleted Property (Developer)

1. Collection of cheques → Projects approval for sale by URA
2. Crossed Cheque written to **Project Account**
3. Authorisation Letter → Terms safeguard interest of buyer, Show buyer names and NRIC, CEA Reg No
 - Specific Block, Unit No, Condition to authorise to pass developer
 - Procedure to return cheque
4. Procedures to issue, safekeeping and return of cheque
5. **Cheque exchange for Option to Purchase**



PSM 3.8 Statements made to Parties

Any Peculiarities in the Transaction → Seek a Lawyer

Case Study:

Salesperson A is representing the purchaser in a transaction. It was revealed that the land actually has two houses on it (house number 5 and 7), and the purchaser will be purchasing a ½ share in the land including house number 5. Salesperson A shall advise his client to seek legal advice to understand the nature of the transaction and in considering whether or not to purchase the share in the property.

CEPCC - Conveying offers, counter offers, etc.

PSM 4 - Communicating Offers & Expressions of Interest

An estate agent or salesperson shall submit **every offer, counter-offer, proposal or expression of interest** received to his client accurately, objectively and as soon as possible after receiving it

All offers, expression of interest must be relayed to client in their order of receipt

Record all verbal or written offers including details of offeror

Multiple Offers
Expression of Interest
Seek Client's instruction

Explain & advise client on offers but decision rests with client

Retain copies of offers for a period of 1 year

PSM 5 Completing the Property Transaction



5.1 Follow-up actions after Sales/Rent agreement is reached

- Signed Prescribe Estate Agency Agreement
- Explain Payment matters → Purchasing Property
- Legal Contract → Uncertain → Advise to seek legal advice
- Copies of signed documents → Pass to Clients (ASAP !)

5.2 No Handling of Transaction Money

5.3 No Moneylending / Advances Money by Estate Agent / Salespersons

5.4 Prior Handling over property

- Inventory list
- Photograph or Explanatory Notes
- Inventory List and Photograph forms part of transaction documentation